



EPCglobal Japan Update

Michio Hamano

COO & Executive Director

GS1 Japan / EPCglobal Japan

The Distribution Systems Research Institute

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Way to EPCglobal Japan

Who is The Distribution Systems Research Institute?

- 1972 Distribution Systems Research Institute (DSRI) was established as a foundation to promote efficient supply chains of goods in Japan.
- 1977 Distribution Code Center - Japan (DCC-Japan) was opened within DSRI.
- 1978 DSRI joined the European Article Numbering Association (later called EAN International, and now the GS1) as its Japanese representative organization
- 2004 EPCglobal Japan was established within DSRI
- 2005 EAN International changed its name to GS1 as it moved into a new era with new organizational structure. Accordingly, we changed the name of DCC-Japan to GS1 Japan in January 2005.



Way to EPCglobal Japan

Who is The Distribution Systems Research Institute?

The Distribution Systems Research
Institute (DSRI)





EPCglobal Japan Membership

As of April, 2006

END USER	22
SOLUTION PROVIDER	15
TOTAL	37



Activities of EPCglobal Japan

EPC Action Groups

EPCglobal Japan and its members have been actively participating in EPCglobal Action Groups.

FMCG-BAG	(Fast Moving Consumer Goods)
HLS-BAG	(Healthcare and Life Science)
TLS-BAG	(Transportation and Logistics Services)
HAG	(Hardware Action Group)
SAG	(Software Action Group)

EPCglobal Japan and its members also provided logistic support for the following meetings.

FMCG-BAG Asian Adoption Program	: September 2005 in Tokyo
TLS-BAG 1 st Meeting	: January 2006 in Kobe



Activities of EPCglobal Japan

TLS-BAG (Transportation and Logistics Services)



- The first TLS-BAG Meeting was held in Kobe, Japan, from 15 to 18 of January, 2006.
- 110 person from 60 companies & organizations of 10 countries and areas participated in the event.



Activities of EPCglobal Japan

Expositions

- EPCglobal Japan has supported RFID relating Expositions such as “Retail Tech 2006” held in Tokyo last month.
- Approximately 154,000 people attended.





Activities of EPCglobal Japan

Seminars

- EPCglobal Japan organized a seminar titled “GS1/EPCglobal – Leading the Future Innovation of Commerce” held in Tokyo in June 2005.
- More than 500 people attended.





Activities of EPCglobal Japan

EPC RFID Forum

- EPCglobal Japan, Auto-ID Labs Japan and ECOM Japan organized “EPC RFID FORUM” in July, 2004, to promote EPCglobal System in Japanese business society.
- Forum meeting has been held several times to date.
- More than 200 companies joined as members.

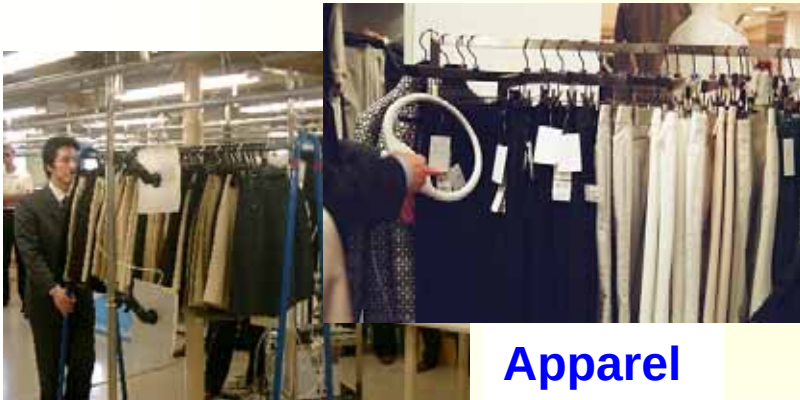




Activities of EPCglobal Japan

Japanese Government Projects

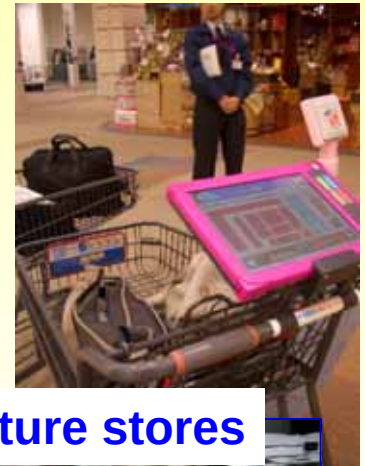
EPCglobal Japan supports RFID Pilot Projects funded by METI (Ministry of Economy, Trade and Industry)



Apparel



Transportation



Future stores



Shoes



Home Electrical Appliances





Pilot Projects on RFID in FY 2005

In FY2005, METI funded 8 Pilot Projects on RFID Systems.

Theme	Project	Outline
Industrial restructuring	1. Home Electrical Appliances and Electronic Products	• Tagging on electrical appliances to secure traceability through the life cycle (manufacturing, maintenance, recycling)
	2. Pharmaceutical Products	• Prevention of dosage accidents
	3. PKO by Japan Self Defense Forces	• Efficient logistics and stock management using RFID
Development of new industry	4. Self-control Robots	• Using RFID for spatial awareness and recognition of human and things



Pilot Projects on RFID in FY 2005

Theme	Project	Outline
Inter-industry coalition	5. Books, CD/DVD	• CRM in the book store by item level tagging on books and CD/DVD
	6. Future Store	• CRM in each retail store using smart-shelf, navi-cart, smart POS register, kiosk, etc.
International cooperation	7. Automotive Parts	• RFID on parts and returnable containers for efficient supply-chain of the automotive parts in ASEAN (Association of Southeast Asian Nations)
	8. Office Equipment	• RFID on parts and pallet for efficient distribution and stock management between Japan, China and South Korea



Pilot Projects funded by METI

Let's have a look at one of the projects!!!



Pilot Projects funded by METI

Japanese Experience

RFID Application in Department Store Front

Inventory Management of Ladies' Shoes
Utilizing RFID

Mitsukoshi



Overview of Mitsukoshi

Established in	Y1673
Incorporated in	Y1904
Capital	\$340M
Sales	\$8B (Y2004 Consolidated)
Store Front Area	533.000m ²
Employees	7,904 (11,425 Consolidated in Y2004)





Issues Facing Ladies' Shoes Retail

◆ Characteristics of goods

- Large Variation in size (6 sizes on average)

- Requires inventory space

- Not distinguishable from outside the box

- Short life cycle due to seasonality or trend in fashion

◆ Store Front Characteristics

- Needs to physically check availability of sizes in backyard inventory

- Needs enough fitting in sales

- Sales opportunity loss due to unavailable sizes

◆ Industry Characteristics

- Heavy work load on inventory checking

- Huge distributor's inventory due to large # of items

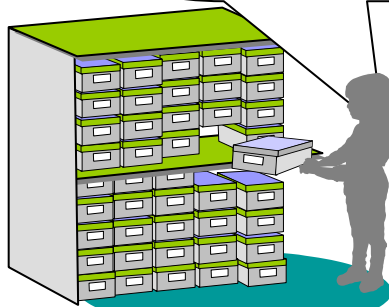
Difficulty in control of inventory due to seasonal fluctuation in shipping/receiving

Realize better customer service by more sophisticated inventory search

Before

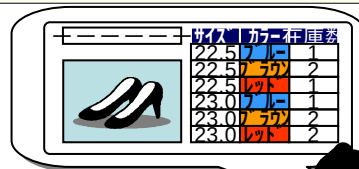
Long time necessary to
find in-store inventory

Rush to backyard warehouse
(2 3 times/customer)

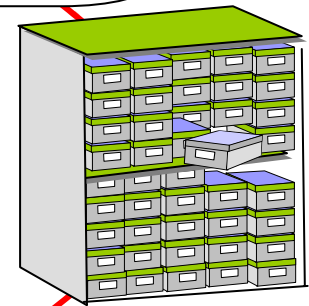


RFID

Self-Inventory
check



Inventory check while
talking with customers



Movie

Presented by Mitsukoshi



Summary of Experiment

【Summary】 (10/12 – 12/20, 2004)

- Query from terminal : 28/person/day
(No available inventory 10/person/day)
- Round trip to backyard : 15/person/day
(reduced from 20 to 15)
- Customer facing time : 6 minutes / customer
(from 13 minutes / customer)
- # of products introduced : 3.1 / customer
(from 1.7 / customer)
- Sales : +10.3% growth to previous year



Way to Future Store

Introduction to real stores has began.

- Inventory Management by RFID for lady's shoes
(Mitsukoshi, Hankyu, Takashimaya)

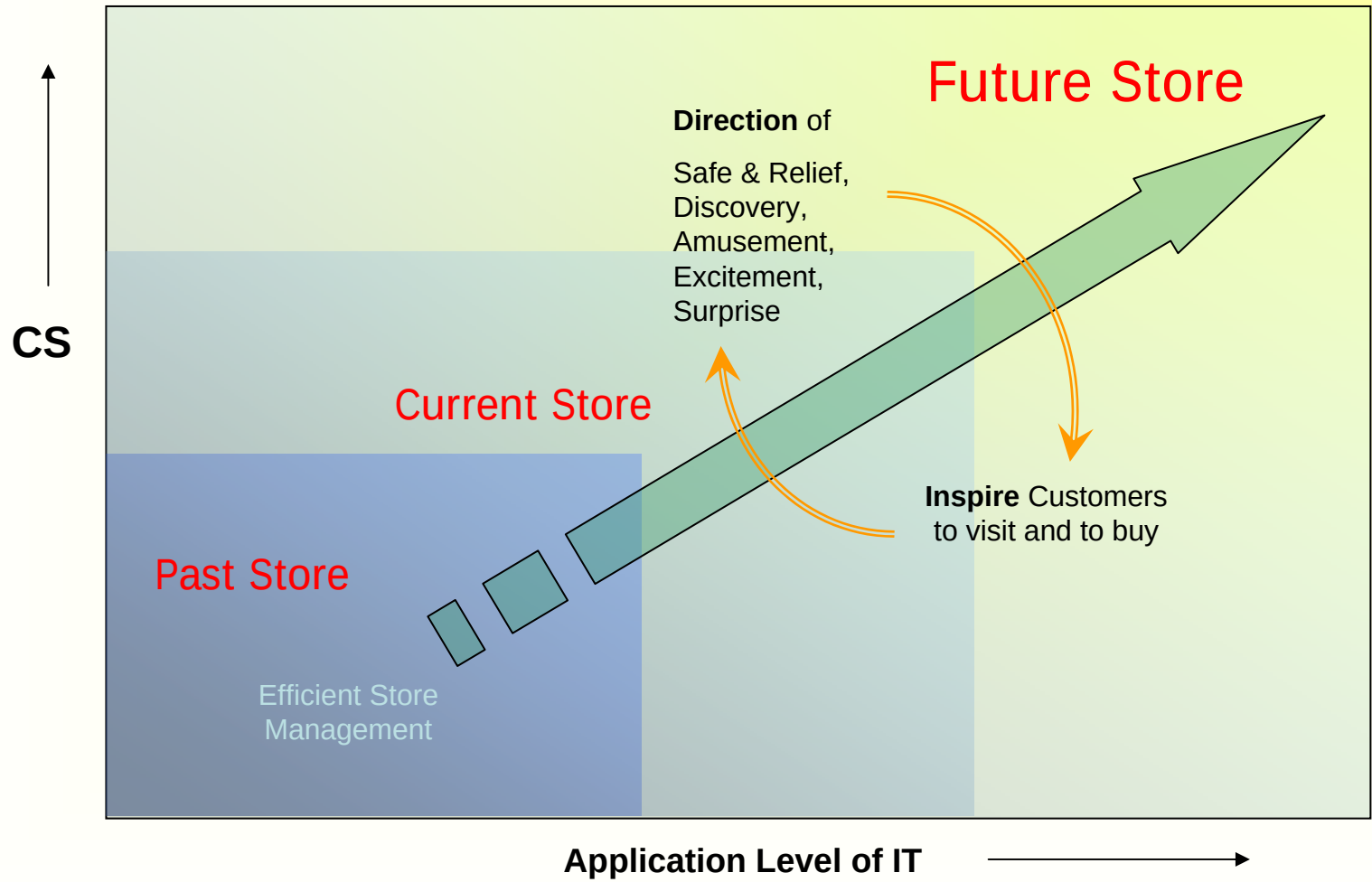
Experiments are continued.

- Smart Shelf for Premium Jeans
(Dpmt. Store)
- Navi-Cart System (Super Market)
- Express POS using RFID
(Convenience Store)





What will be Japanese Future Store?



감사합니다



GS1 Japan



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The Distribution Systems Research Institute

URL <http://www.dsri.jp>